

Q2 2026 Financial Results

Prepared by: FP&A, reviewed by Elena Petrova (Controller) **Presented by:** Daniel Reyes, CFO, to the executive team on 21 July 2026 **Period:** 1 April 2026 – 30 June 2026

1. Executive summary

Northwind Labs closed the second quarter of 2026 with total revenue of **\$10.14 million**, up 5.8% from Q1 2026 and 27% year over year. Annual recurring revenue (ARR) reached **\$41.8 million** at 30 June 2026, an increase of \$2.2 million in the quarter. Gross margin improved to **78.4%**, helped by the migration of the Atlas ingestion tier to reserved cloud capacity in May.

Net revenue retention for the trailing twelve months was 114%, and gross revenue retention was 92%. Beacon, the alerting and on-call add-on, was attached to 38% of new Atlas Enterprise deals in the quarter.

Operating loss narrowed to \$0.61 million (6.0% of revenue) from \$0.88 million in Q1 2026. Cash and cash equivalents at quarter end were \$31.4 million.

2. Highlights

- 64 new logos signed, including 11 Enterprise customers.
- Largest new contract: a three-year Atlas Enterprise agreement with a German logistics company, \$640,000 annual contract value.
- Logo churn of 1.9% in the quarter, the lowest since 2024.
- Days sales outstanding (DSO) improved from 52 to 47 days.

3. Revenue

Revenue line	Q1 2026	Q2 2026	QoQ change
Atlas subscription	\$8,310,000	\$8,750,000	+5.3%
Beacon subscription	\$790,000	\$870,000	+10.1%
Total subscription revenue	\$9,100,000	\$9,620,000	+5.7%
Professional services	\$480,000	\$520,000	+8.3%
Total revenue	\$9,580,000	\$10,140,000	+5.8%

4. ARR bridge

ARR movement	Q2 2026
Opening ARR (31 March 2026)	\$39.6M
New logo ARR	+\$1.9M
Expansion ARR	+\$1.3M
Contraction ARR	-\$0.3M
Churned ARR	-\$0.7M
Closing ARR (30 June 2026)	\$41.8M

ARR by region at quarter end: North America \$22.6M, EMEA \$18.1M, other regions \$1.1M.

5. Gross margin

Metric	Q1 2026	Q2 2026
Cost of revenue	\$2,194,000	\$2,191,000
Gross profit	\$7,386,000	\$7,949,000
Gross margin	77.1%	78.4%
Subscription gross margin	81.0%	82.2%
Services gross margin	3.5%	8.1%

6. Operating expenses

Category	Q2 2026	% of revenue
Research & development	\$3,650,000	36.0%
Sales & marketing	\$3,450,000	34.0%
General & administrative	\$1,459,000	14.4%
Total operating expenses	\$8,559,000	84.4%
Operating loss	-\$610,000	-6.0%

7. Outlook

Based on Q2 performance the FP&A team prepared version 2 of the FY2026 forecast, published on 15 July 2026. Please refer to that document for the current full-year targets. The Q3 2026 operating budget was approved separately and is documented in the Q3 2026 Operating Budget.